

2:00 PM

LINE: 3

23-CIV-00632

AIXTEK, A CALIFORNIA CORPORATION VS. THE COUNTY OF SAN MATEO

AIXTEK, A CALIFORNIA CORPORATION
THE COUNTY OF SAN MATEO

JOHN PETER SHEARER
DANIEL T. MCCLOSKEY

DEFENDANT COUNTY OF SAN MATEO'S MOTION FOR SANCTIONS RE: DEPOSITIONS OF JOHN AND PATRICIA EATON

TENTATIVE RULING:

County of San Mateo's Motion to Withdraw Stipulation for the Appointment of a Discovery Referee and to Set a Hearing on the Motion for Terminating Sanctions is **DENIED**.

The Court finds that the County has not shown good cause under California Rules of Court, rule 3.906 to withdraw from the stipulation for appointment of the discovery referee or to vacate the reference. The County's disagreement with the referee's handling of the terminating-sanctions request does not constitute good cause to withdraw the stipulation.

The Court does not decide the merits of the County's request for terminating sanctions. That issue remains within the scope of the existing discovery reference and shall be decided by the discovery referee in the first instance.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, counsel for the County shall prepare for the Court's signature a written order consistent with this ruling, pursuant to California Rules of Court, rule 3.1312, and provide written notice of the ruling to all parties who have appeared in the action, as required by law and the California Rules of Court.

2:00 PM

LINE: 4

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AIXTEK, A CALIFORNIA CORPORATION
THE COUNTY OF SAN MATEO

JOHN PETER SHEARER
DANIEL T. MCCLOSKEY

**COUNTY OF SAN MATEO'S MOTION TO WITHDRAW STIPULATION FOR THE APPOINTMENT OF A DISCOVERY REFEREE
AND TO SET A HEARING ON THE MOTION FOR TERMINATING SANCTIONS**

TENTATIVE RULING:

Defendant/Cross-Complainant County of San Mateo's ("County") Notice of Motion and Motion for Sanctions Re Depositions of John and Patricia Eaton (the "Motion") is **CONTINUED** pending resolution of the pending appeal.

The operative Complaint alleges that Plaintiff is an information technology contractor that performed work for Defendant for more than 15 years. The Complaint further alleges that Plaintiff performed under two contracts—one for project-management-related services and another for network- and cybersecurity-related services—but Defendant breached those contracts by failing to pay for a significant portion of the services provided.

The operative First Amended Cross-Complaint ("FACC"), filed by the County against Patricia Christine Eaton and John Monroe Eaton (the "Eatons"), who are officers and directors of Plaintiff, and against Plaintiff, alleges that the County's taxpayers paid \$2 million to Cross-Defendants to connect the County's buildings with fiber-optic cable but received nothing for that investment. Cross-Defendants allegedly claimed that the fiber-optic cable had been connected when it had not. After a new Chief Security Officer ("CSO") took over the County's Information Services Department ("ISD") at the end of 2021, the CSO initiated an audit to map the County's network infrastructure, including its fiber-optic lines. ISD staff searched for the fiber-optic lines that Plaintiff was paid to install but did not find a single one. When confronted, Cross-Defendants allegedly made shifting excuses and failed to provide an explanation for their failure to provide the contracted-for services.

The Court appointed a Discovery Referee by order signed on June 3, 2025, and filed on June 9, 2025. On April 22, 2026, the Discovery Referee issued the Discovery Referee's Statement of Decision Re: County's Motion for Sanctions Re Depositions of John and Patricia Eaton (the "Statement of Decision"). After reviewing "all pleadings, all declarations, the seventy exhibits attached to the Motion, the Opposition with declarations, and the Reply and the Sur Reply, along with subsequent declarations," the Discovery Referee granted in part the County's motion to sanction Cross-Defendants John Eaton and Patricia Eaton and their counsel for discovery abuses, including the Eatons' failure to appear for deposition. (Statement of Decision, 1:7-9 & 6:1-13.) The Discovery Referee awarded \$21,612 in monetary sanctions but declined to strike Cross-Defendants' Answer to the FACC because that relief would result in a judgment on the FACC, which "should be the purview of the Judge supervising this case." (Id., 6:3-4.)

A Notice of Appeal filed on June 23, 2026 states that the appeal is from "[o]nly the monetary sanctions part against the filing counsel only[.]" The Court filed a Notice of Filing of Appeal on June 26, 2026.

On February 24, 2026, the County filed in this action the Motion, which appears to be the same motion presented to the Discovery Referee, as are the other accompanying papers, including the Proposed Order. The County also filed a Reply
